



RX INTERVIEWS

**A PRAGMATIST'S GUIDE TO
LEVERAGED FINANCE Q&A**

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INTRODUCTION

A Note Before Beginning...

A Pragmatist's Guide to Leveraged Finance: Credit Analysis for Bonds and Bank Debt by Robert S. Kricheff is exactly what the title states.

RX bankers spend a great deal of their time – indeed, almost all their time – thinking about credit. However, most books on credit are far too academic and stray away from what market practitioners actually do.

Kricheff has written the best book on what you really need to know about bonds / loans. That shouldn't be a surprise given that he was an MD at Credit Suisse in leveraged finance.

Some of these questions may seem a bit basic, but it's important to remember the definitions of terms and concepts.

Number of Q&A: 108

1 Difference between correct credit analysis for bonds vs stocks?

Bonds will eventually reap the yield at which the bonds were bought or sometimes greater if an early takeout occurs. When you buy a stock the only way the price goes up is when more people become convinced that they should pay more for it than you did.

1 Two basic tenants of credit analysis?

Financial liquidity (cash flow) and asset protection (the company can sell assets to cover your position, if liquidated).

1 Amortization definition?

Depletion of intangible assets on the balance sheet.

1 What's a call (for a bond/loan)?

Right to purchase a bond or loan at a set price for a set period of time.

1 What's a corporate bank loan?

A loan to a company. Usually a term loan (not re-borrowable) or a revolver (that can be repaid and reborrowed).



1 What's a corporate bond?

A loan to a company in the form of a security; also called notes or debentures. Debentures are usually used for non-US denominated bonds.

1 What's a covenant? Three broad types?

A rule laid out in the indenture and loan documents by which a company agrees to operate as part of the terms of the loan or the bond.

- Affirmative covenants refer to something the company must do
- Financial/maintenance covenants are typical of bank debt and include financial tests
- Negative covenants typically prevent or restrict what a company can do

1 Default? Technical default?

When the company that issues a bond or loan fails to make required payment. Technical default occurs when maintenance/affirmative covenants are violated (for example, breaks the required leverage or interest rate coverage ratios).

Both can force a company into involuntary bankruptcy although this is rare.

1 Shareholders Equity?

What is left of value in a company after debt and other obligations are subtracted from total value.

1 Grace period?

Most loan agreements and bond indentures have a set period of time in which they are allowed to have a non-principal default before the borrowers can accelerate and force a bankruptcy. Typically, 30 days. When a creditor forces a bankruptcy it's called an involuntary bankruptcy or involuntary Chapter 11.

Note: It's very uncommon for there to be an involuntary bankruptcy. Normally what happens is when a company realizes they'll have to file a Chapter 11 they'll draw down their revolver and get as much cash as they can to have a "war chest" going into it. In other words, they'll voluntarily file in order to pre-empt being forced in by creditors.

1 What's an indenture?

Legal document containing all the terms that the issuer of a bond agrees to.



1 Who is an issuer?

Company that issues the loan or bond.

1 What do we mean by leverage?

A company's level of debt.

1 LIBOR?

An interest rate that is often used as the base rate for loans and revolvers. You'll see them in cap tables in the form of "L+425", etc. meaning the interest rate is LIBOR (whatever it happens to be at the time as it's floating) plus 425 basis points (4.25%), which is fixed.

Note: LIBOR is being phased out for SOFR now – a slow process that's been in the works for years, but that is now nearing completion: <https://www.whitecase.com/insight-our-thinking/us-levfin-2022-sofr-transition-progresses>

1 What's a loan book (sometimes called a bank book)?

Usually a summary of new loan offerings. Sometimes it is private. Generally, it is a bank loan version of the bond prospectus.

1 What are money terms?

Refers to the principal due, maturity, and interest rate.

Note: If you're talking to someone about a bond or loan, and want to know what its core features are you might say, "what are the money terms of it?"

1 Pari passu?

Latin term meaning without partiality. Generally, refers to two debt instruments being ranked equally in the capital structure.

1 What's principal?

Amount owed on a loan of bond at maturity.

1 What's pro forma?

As a matter of form. Refers to financial statements that have been adjusted for certain assumptions such as a merger or new debt offering.

Note: For RX "pro forma cap tables" refer to the cap tables that you'll create illustrating what the cap table will look like after a restructuring.



1 What does pro rate mean?

According to the rate. Refers to a method of allocating something equally and proportionally.

1 What's a bond prospectus?

When a new bond is being issued this is a summary document of a company business, recent results, and indenture.

1 What's a put (for bonds/loans)?

The right to sell a bond or loan at a set price for a set period of time

1 Technical default?

When the company that issues a bond or loan fails to follow one of the rules under its covenants or violates an affirmative covenant. Doesn't mean missing a payment.

1 Tranche?

Refers to a portion of investment issue.

1 What's meant by a "spread"?

Yield to maturity minus some interest rate benchmark. For bonds that's the equivalent duration treasury, for bank loans it's LIBOR.

1 What's spread to worst (STW)?

Same as "spread" but you use yield to worst, not yield to maturity, in the calculation.

1 What's YTC?

Yield to call. It's the yield assuming that the bonds are taken out at the next call date.

1 What's YTM?

Yield to maturity. Takes into consideration price paid for bond or loan as well as interest payments and principal payments to be made over the life of the bond and the amount of time to maturity. The YTM is an annualized return on investment. Assumes cash payments are reinvested at the same rate as the bond/loan is paying, which is often an erroneous assumption when dealing with distressed (as you can't get the same returns reliably on cash coming in from interest payments!).



1 What's YTW?

Yield to worst. Assumes retirement of the bond based on the call schedule with the worst return. Applies when bonds or loans are bought at a premium (above par) and calculates which would be the lowest return to any possible call date.

1 When are YTW and YTM the same?

When they are at par or at a discount. Different only if at a premium (above par).

1 What do "hit" or "lifted" mean?

Hit when you buy the bonds from someone, lifted when you sell to someone.

1 Round lot?

Minimum size is 1,000 for bond purchases, but round lot refers to buying \$1m worth which is normally the lot size at which bonds are sold at.

1 When you buy a bond between interest periods what does the seller pay?

Price quoted plus the 90-day accrued interest period if the bond is bought 90 days after last payment. Trading flat refers to when the bond is trading without interest because it is in default.

1 What are the investment grade definitions?

Bonds that are BBB- (S&P) / baa (Moody's) and above.

1 What are busted converts?

Where the feature to convert to equity (for say convertible debt) have no perceived value. Attract high yield investors only then.

In other words, you're just buying the bond purely because of the bond-features, not the equity potential.

1 Structured products more prevalent in loans or bonds?

Loans. CLO market is still active, the CDO market is much less post-GFC.

1 Why don't individuals buy loans / bonds?

Must be QIB (qualified institutional buyer) to be able to trade 144a securities. Also, minimum size is usually \$1m for bonds and \$10m for loans.



1 Is there central clearing in loans? What's the implication of this?

No, so can't put on a short conventionally.

1 Loans can be divided into what two groups?

Into revolvers and term loans.

Term loans are often called TLs. Can be called a TLA or TLB, etc.

1 What's principal amortization?

Fancy phrase for required debt pay down. Very rare in bonds. Less common in high yield loans than investment grade.

1 If loans have required cash flow sweep, what does this mean?

Defined portion of excess cash flow from operations may be required to pay down bank debt each year.

1 Difference between TLA and TLB?

No hard rules. TLA tend to be held by commercial banks and TLB by institutional investors like mutual funds or CLOs. TLA better terms, lower maturity, more amortization. TLB rarely have meaningful amortization. Can sometimes (but rarely) be tranches beyond B.

1 If loans are repurchased, how does it work?

Equally across all tranches, sometimes have first out tranches (e.g., TLAs will be repurchased first).

1 Are bank loans senior to bonds?

Yes or at least pari passu (equal in ranking).

1 Can you change loan covenants if the company gets into trouble?

Yes, for a fee (called a consent fee). It's usually easier to get changes with loans than with bond holders.

1 Two different ways to trade bank loans?

Assignment or through participation. In assignment the purchaser of the bank debt ends up owning the piece of bank debt and has voting rights and so on. Assignments typically need to get approval from the bank agent and the company.



In participation the buyer gets a legal claim on the economics of owning the bank debt, but the debt actually remains held by the seller. Meaning the voting rights are retained by the seller.

1 When is YTC higher than YTM?

When bonds are trading above the call price the YTC is lower than the YTM. YTW is just whatever one has lower yield.

1 What's a tender offer?

An offer to buy the bonds.

1 What is accretion?

Zero coupon bond below face value that increases in price (accretion) as it gets closer to maturity as it pays out par at maturity.

1 How is accretion treated on income statement?

As income expense.

1 What's PIK?

Bond issued at par pays interest in other bonds issued at par. Typically PIK is for 3-5 years and then required to start paying cash interest.

1 What are toggle bonds?

Has option in PIK period, to pay via bonds or cash. Or both.

1 Once interest payment made how is next payment calculated when using PIK?

Taking into account current PIK payments (on ones issued originally and in lieu of interest)

1 What's meant by "trading rich"?

If lower yield trading rich (as has higher price), trading cheap if higher yield (as has lower price).

1 How do you derive FCF?

EBITDA then nets out interest expense, cash taxes, and capex, and adjusts for working capital.



1 Net debt?

Debt – cash

1 What's the most common ratio used for liquidity?

EBITDA/cash interest expense. If 1x can just cover interest expense. Normally use adjusted EBITDA.

1 What's meant by "go cash pay"?

Zero coupon bond starts paying cash interest expense

1 How would you adjust cap ex to see regular expenditures?

Look to management discussion of results in 10-k and see if there was large, abnormal capex in the current year.

1 What's the leverage ratio?

Debt/EBITDA or Debt/Adjusted EBITDA.

1 Is EBITDA realistic?

Not really, maybe for top tranches of debt.

1 What does EBITDA/debt tell you about the coverage ratio?

For example, if the ratio is: $250/1500 = 0.17$ this means if a company had a 17% interest rate its interest coverage ratio would be 1x.

1 what does FCF/total EBITDA show?

How long it would take the company to pay back its debt with cash generated from the business.

1 How to get FCF?

Adjusted EBITDA less cash taxes, less cash int exp, less cap ex, and less working capital (benefit).

1 What is pricing grid?

Pricing of loans is often based on a grid. For example, L+150-250. The interest a company ultimately pays on a loan may move up as the debt/EBITDA or senior secured debt/EBITDA moves.



1 When do bonds pay interest?

Usually semi-annually.

1 Four types of deferred pay bonds?

Zero coupon, zero-step, PIK, PIK toggle.

1 What is the principal claim that a bond has in bankruptcy?

The accreted value.

1 What is zero-step?

Interest rate or coupon steps up. Issued as a zero coupon but after set number of years begins to pay cash interest. Usually after five years and bond reaches par. Bonds callable when they start paying cash.

1 What's difference between toggle and PIK?

Can pay cash or PIK coupons for a toggle.

1 What's "overfunded" mean?

Rare but it means you raise more money than you need and then put it in escrow so can use it to pay interest payments.

1 DV01 (delta of one basis point move) increases with?

Length of maturity.

1 What's the most common maturity in bonds or loans?

10 years but 7, 8, and 12-year are all common. Loans typically less than 10 years.

1 What's a "spring forward"?

If the more junior loan/bond is not retired, for example, six months before it actually matures the maturity of the more senior security springs forward and is due prior to the more junior loan/bond.

Note: This is done because a bank loan issuer wants to make sure they're repaid. If more junior loans/bonds are about to expire, and haven't been retired (meaning re-financed), then that is a signal the company is in a poor position so the more senior security's maturity springs before the loan/bond maturity. See cap table for examples.



1 What's a sinking fund?

Have to retire some proportion of bonds before maturity.

1 What's a call?

Gives company the right to buy back the notes or loans beginning on date at a specific price. Usually noncallable for five years then half callable and increasingly callable out to a 10-year maturity.

1 What is a clawback?

If new money is raised in a stock offering for the company, the company can retire some of the bonds earlier than it otherwise would. Usually price is par plus the coupon.

1 AHYDO meaning?

Applicable high yield discount obligation. Used when a corporate bond has significant original issue discount. For example, when a zero coupon has initial yield of 500bp over applicable rate (treasuries) and maturity of over five years.

1 Tender for bonds?

Most bonds (even non-call bonds) have a make whole provision that lets the company call bonds at an equivalent treasury note plus a 50bp spread. Anytime.

1 General ranking (priority) of debt?

- Senior secured (usually mostly bank debt)
- Senior unsecured (bonds, typically high yield)
- Senior subordinated
- Subordinated
- Preferred stock
 - Has preference date where shares are to be repaid so resembles debt. Sold in lev fin market. Perpetual preferred more like equity as no set date. Usually have dividend. Cannot trigger a default.
- Common stock

1 What is structurally subordinated?

When some debt is issued at an entity closer to the operating assets while other debt is issued at an entity that is further away.



1 What are subsidiary guarantees?

Effectively makes debt issued by one entity (the sub or SubCo) the responsibility of another entity (the parent company or HoldCo).

1 What does it mean for bonds to have been primed?

Primed is when a certain class of bonds has new bonds issued *senior* to them. Thus, pushing the old bonds further down the capital structure.

1 What is the debt incurrence covenant?

Under what terms a company is allowed to add to its debt. Based on leverage ratio debt/EBITDA. Sometimes (although rarely) EBITDA/interest expense used.

1 What are carve outs?

Ways in which debt can be issued even if the debt test ratio is not met (as you can imagine this is of particular relevance to distressed companies who will have high leverage ratios).

1 What are restricted payment covenants?

Holder of a bond or loan would want the company to meet certain goals before it can use money to either pay dividends on the equity, do stock buybacks, or be able to retire securities that are more junior.

For example, the restricted payment covenants can say you can only use the company's funds for stock buybacks or to retire junior securities if EBITDA is over 1.4x interest expense (in other words, coverage ratio over 1.4x).

1 What are waivers and amendments?

Ways to change certain covenants by majority (50%) or supermajority (67%)

1 How to cure technical default with equity cure?

Company's shareholders can "cure" a financial technical default simply by putting more equity capital into the company.

1 What's a tender?

Company offers to purchase securities. If the company wanted, for example, to change a covenant it could buy 51% of the bonds outstanding (if it is a non-money clause, like subordination).



Could do exchange offer instead if the company had limited cash (offer to exchange the bonds for a new set of bonds with perhaps a higher interest rate).

1 What is an amend and extend?

Company negotiates with the banks to agree to keep in place the basic terms of the bank agreement, but with a longer maturity. This will require bumping their interest payments or paying a consent fee or doing a term loan pay down.

1 Difference between consent and waiver?

Waiver is temporary (for example, a temporary breach of covenants due to a natural disaster). Consent is permanent.

Both refer to creditors giving their consent to the company breaching covenants (waiver is temporary, consent is permanent).

So when we say that we pay a consent fee to a revolver, for example, we're paying them a pre-determined fee (often 100-200 basis points) for allowing us to breach a covenant that the revolver has in place.

1 Most common valuation metric for leveraged finance?

TEV/EBITDA.

1 What's the TEV cushion?

TEV/net debt

1 What is a float?

Number of shares that actually trade.

1 What's a relative value measure?

STW / (debt/EBITDA). This shows how many basis points of spread you get paid for each turn of leverage.

Note: STW = spread to worst. Turn of leverage refers to every 1x increment (e.g. debt/EBITDA of 3x is three turns of leverage).

1 What is headroom?

Amount of room between a maintenance covenant metric and company's current metric.



1 When comparing bonds in excel what are good metrics to use to compare?

STW / EBITDA
Total Debt / EBITDA
FCF / Debt
TEV / EBITDA
STW / (Debt/EBITDA)

1 What's original issue discount?

Bonds issued below par (100) at origination. Essentially a form of yield enhancement. The cash interest is still the same for the company, as there is a set coupon rate, but the yield for the buyer of bonds is higher as they're only putting in (for example) \$90 at issuance but getting \$100 back at maturity.

1 Difference between impaired and not in bankruptcy?

A class of loans / bonds are unimpaired if they're getting all that it is legally entitled to them on their claims. Unimpaired do not vote in the POR (plan of reorganization).

If a class is getting nothing it can't vote either (as will obviously vote no, because they aren't getting anything). Only those impaired (getting something, but not made whole) get a vote and must approve bankruptcy by two thirds of the class's dollar amount and 50% of holders must vote in the affirmative.

1 What's blocking position for a POR?

33.4% of the impaired class in dollar terms can block a POR.

1 What's a cram down?

Judge forces approval of the POR (plan of reorganization).

1 What's the sale of a company in bankruptcy called?

Section 363. Court gets bid for the company perhaps from group of creditors. Initial stalking horse bid as floor. Have to offer secured debt claims as part of payment.

1 What's fulcrum security?

The most senior class of debt that is impaired and not paid in full.